Document 0B. Exam Hot Spots & One-Page Compacts — Tier 2 Topics

What this document is. For each of the 19 Tier 2 topics, this consolidates two exam-grade-maximising artefacts: (i) the *Exam Hot Spots* box — past-year frequency, common pitfalls, and the key marks-grab — and (ii) the *One-Page Compact* — a printable revision card.

How to use. (1) Pair this with each Tier 2 doc during revision. (2) The Hot Spots box tells you where examiner attention falls. (3) The One-Page Compact is what you re-read in the final week. (4) If you cannot reproduce the Compact without notes, you have a fluency gap — re-attempt the parent doc's framework.

Section 05. Demand, Supply & Market Equilibrium

Hot Spots. *Frequency:* Very High (both papers). *Pitfalls:* (1) writing "demand ↑, price ↑" without the shortage-pressure mechanism; (2) confusing change in DD with change in Q_d; (3) forgetting to redraw curves on the diagram. *Marks-grab:* verbatim 7-step + a fully labelled DD/SS diagram + one Singapore application (e.g. ride-hailing fares, HDB resale).

One-Page Compact. Equilibrium: $Q_d = Q_s$ at P_0. Shifters of DD: tastes, income, related goods (substitutes/complements), expectations, no. of buyers. Shifters of SS: input prices, technology, taxes/subsidies, expectations, no. of sellers. Mechanism: at P_0, if DD > SS ⇒ shortage ⇒ price rises ⇒ Q_d contracts, Q_s extends ⇒ new equilibrium at P_1, Q_1. PED/PES determine magnitude.

Section 06. Elasticities

Hot Spots. *Frequency:* High in CSQ, Med in essays. *Pitfalls:* (1) stating "inelastic" without saying $|PED| < 1$; (2) ignoring time-horizon (SR vs LR elasticity differs); (3) confusing PED with YED or XED. *Marks-grab:* use elasticity to evaluate magnitude in any tax/subsidy/policy question.

One-Page Compact. PED = $\%\Delta Q_d/\%\Delta P$. Determinants: substitutes, necessity, proportion of income, time. YED: >1 luxury, <1 necessity, <0 inferior. XED: >0 substitute, <0 complement. PES: factor mobility, spare capacity, time. Tax incidence: more inelastic side bears more burden. Total revenue test: inelastic DD ⇒ price up ⇒ TR up.

Section 07. Externalities

Hot Spots. *Frequency:* Very High both papers. *Pitfalls:* (1) forgetting to shade DWL triangle; (2) confusing negative production externality (MSC above MPC) with negative consumption externality (MSB below MPB); (3) recommending tax without setting it equal to MEC at Q^*. *Marks-grab:* 7-step framework + correctly oriented MSC/MSB wedge + Singapore example (COE, carbon tax).

One-Page Compact. MEC ⇒ MSC > MPC ⇒ over-produce ($Q_m > Q^*$). MEB ⇒ MSB > MPB ⇒ under-consume ($Q_m < Q^*$). Pigouvian tax = MEC at Q^*; subsidy = MEB at Q^*. Other policies: tradable permits, regulation, public provision, info campaigns. Evaluate: info asymmetry, admin cost, regressive impact, conditional on PED.

Section 08. Merit / Demerit / Public Goods + Info Failure

Hot Spots. *Frequency:* Med–High micro CSQ. *Pitfalls:* (1) calling a public good "merit"; (2) ignoring rivalry/excludability distinction; (3) recommending tax for a public good (wrong — public provision needed). *Marks-grab:* state the source of failure first (externality, info failure, non-rivalry, non-excludability), *then* match the policy.

One-Page Compact. Merit good: + externality + info failure (rival, excludable) — e.g. education, healthcare. Demerit: − externality + info failure — e.g. tobacco. Public good: non-rival, non-excludable — free-rider ⇒ no market ⇒ public provision. Info failure: misjudge MPB/MPC ⇒ under/over-consume. Policy: info campaigns, mandatory disclosure, public provision, subsidies (merit), taxes (demerit).

Section 09. Market Structures

Hot Spots. *Frequency:* Med Paper 1, Very High Paper 2 essays. *Pitfalls:* (1) confusing PC long-run equilibrium with monopoly; (2) forgetting that monopoly has *no supply curve*; (3) ignoring contestable markets. *Marks-grab:* for each structure show price, output, profit area, efficiency verdict (allocative + productive). Mention contestability for evaluation.

One-Page Compact. PC: P=MC=AC at min AC; normal profit LR. Monopolistic competition: P > MC; normal profit LR; excess capacity. Oligopoly: kinked DD; tacit collusion; non-price competition. Monopoly: P > MC; supernormal profit; allocative inefficient but dynamic-efficient possible. Contestable: hit-and-run entry threat ⇒ P → MC even if 1 firm.

Section 10. Government Intervention

Hot Spots. *Frequency:* Very High Paper 1. *Pitfalls:* (1) drawing tax/subsidy without burden split; (2) forgetting DWL; (3) not evaluating gov failure (info, admin, regulatory capture). *Marks-grab:* draw all four welfare areas (CS, PS, GovRev, DWL) and label burden by elasticity.

One-Page Compact. Indirect tax: SS shifts up by t, P rises by $< t$ (DD elastic) or $\approx t$ (DD inelastic). Subsidy: SS shifts down. Price ceiling $< P_0$: shortage, DWL, black market. Price floor $> P_0$: surplus, DWL, gov stockpile. Quota: vertical SS at Q_{quota}, P rises. Evaluate: distributional, info, admin cost, time-horizon.

Section 11. AD-AS Framework & Multiplier

Hot Spots. *Frequency:* Very High macro. *Pitfalls:* (1) drawing AS as one curve (must show Keynesian flat, intermediate, classical vertical); (2) using $k = 1/(1 - \text{MPC})$ without leakages; (3) ignoring crowding out. *Marks-grab:* state k formula, verbatim 7-step multiplier, identify which AD component shifted.

One-Page Compact. AD = C + I + G + (X − M). C drivers: income, wealth, interest, confidence. I: interest, expectations, profit, business taxes. AS: SRAS shifters (input prices, productivity); LRAS shifters (labour, capital, tech, institutions). Multiplier $k = 1/(\text{MPW}) = 1/(\text{MPS}+\text{MPT}+\text{MPM})$. Effect dampened by crowding out, leakages, capacity constraints.

Section 12. Macroeconomic Aims & Trade-offs

Hot Spots. *Frequency:* Very High essay-policy parts. *Pitfalls:* (1) treating aims as independent; (2) ignoring Phillips curve trade-off; (3) forgetting external balance. *Marks-grab:* explicitly link two aims via mechanism (e.g. growth → employment → but inflation if at capacity).

One-Page Compact. Four aims: growth, full employment, price stability, healthy BOP. Trade-offs: SR Phillips (unemployment↔inflation); growth↔inflation at full capacity; growth↔CA (import-led); inflation↔competitiveness. Resolutions: supply-side eases trade-offs by shifting LRAS; targeted policies (e.g. MAS for inflation, fiscal for growth).

Section 13. Inflation & Deflation

Hot Spots. *Frequency:* Very High (2022–23 hot topic). *Pitfalls:* (1) confusing demand-pull with cost-push; (2) ignoring imported inflation for Singapore; (3) mixing deflation (price fall) with disinflation (slower rise). *Marks-grab:* identify which AD/AS curve shifted, link to MAS appreciation response.

One-Page Compact. Demand-pull: AD↑ near capacity ⇒ P↑, Y↑. Cost-push: SRAS← ⇒ stagflation. Imported: ↑import prices via depreciation or world supply shock. Consequences: erodes real wages, menu/shoe-leather costs, redistribution, exchange-rate impact. Policy: MAS appreciation (Singapore), interest rate (other countries), supply-side, fiscal restraint. Deflationary spiral: P↓ ⇒ delay spending ⇒ AD↓ ⇒ P↓↓.

Section 14. Unemployment

Hot Spots. *Frequency:* High. *Pitfalls:* (1) recommending demand-side for structural unemployment; (2) ignoring NRU; (3) forgetting hysteresis. *Marks-grab:* classify type (cyclical, structural, frictional) before recommending policy. SkillsFuture / JGI for Singapore.

One-Page Compact. Types: cyclical (AD↓), structural (mismatch), frictional (transitional), seasonal. Cost: lost output (output gap), fiscal burden, social cost, hysteresis. Cyclical → expansionary AD policy. Structural → retraining (SkillsFuture), industry policy. Frictional → job-matching (CareersConnect). NRU = structural + frictional.

Section 15. Economic Growth

Hot Spots. *Frequency:* Very High both papers. *Pitfalls:* (1) confusing actual (AD-led) with potential (LRAS-led); (2) treating sustained = sustainable; (3) ignoring inclusive dimension. *Marks-grab:* distinguish all three growth types and link policy mix accordingly.

One-Page Compact. Actual: Y_a rises via AD. Potential: Y^* rises via LRAS (labour, capital, tech, institutions). Sustained: AD and LRAS rise together over time. Sustainable: without depleting natural capital (carbon tax, green tech). Inclusive: distributed across income groups (Workfare, ComCare, ProgressivePackages). Policy mix: demand-side stabiliser + supply-side long-run engine.

Section 16. Balance of Payments

Hot Spots. *Frequency:* High Paper 1, Med Paper 2. *Pitfalls:* (1) confusing CA with BOP overall; (2) treating CA deficit as always bad; (3) forgetting Marshall–Lerner. *Marks-grab:* decompose BOP

(CA + KA + FA + official reserves = 0); cite Marshall–Lerner and J-curve for FX questions.

One-Page Compact. BOP = CA (goods, services, income, transfers) + Capital A + Financial A + Errors + Reserves. Causes of CA deficit: ↑M (income up), ↑import prices, loss of comp adv, ↓X demand. Cures: depreciation (if M-L holds), supply-side, protectionism (last resort). J-curve: short-run CA worsens; long-run improves. Singapore: persistent CA surplus from electronics + services + FDI returns.

Section 17. Exchange Rate Systems

Hot Spots. *Frequency:* Very High (Singapore-specific). *Pitfalls:* (1) saying "MAS raises interest rate"; (2) confusing nominal with real ER; (3) forgetting S$NEER is a basket, not bilateral. *Marks-grab:* always invoke S$NEER managed float and three policy levers (slope, width, centre).

One-Page Compact. Demand for S$: X, FDI in, speculation ↑, r differential, tourism in, MAS buys. Supply: M, FDI out, speculation ↓, lower r, tourism out, MAS sells. Appreciation ⇒ cheaper imports ⇒ lower imported inflation, but X less competitive. Depreciation ⇒ X cheaper ⇒ CA improves (M-L), but imported inflation. MAS: managed float on basket; 3 levers.

Section 18. Fiscal Policy

Hot Spots. *Frequency:* Med–High macro. *Pitfalls:* (1) ignoring crowding-out in essays; (2) forgetting automatic stabilisers; (3) treating fiscal = monetary. *Marks-grab:* distinguish discretionary vs automatic, demand-side vs supply-side fiscal, and apply Singapore's surplus-budget norm + ResilienceBudget.

One-Page Compact. Expansionary: ↑G or ↓T ⇒ AD↑, multiplier k. Contractionary: ↓G or ↑T. Automatic stabilisers: progressive tax, transfers. Supply-side fiscal: education, R&D, infrastructure. Limits: crowding out, time lags, debt sustainability. Singapore: structural surpluses, NIRC, JGI, Resilience Budget 2020.

Section 19. Monetary Policy

Hot Spots. *Frequency:* Very High (Singapore MAS). *Pitfalls:* (1) saying MAS uses interest rates; (2) forgetting trilemma; (3) ignoring time-lag in MP transmission. *Marks-grab:* state MAS uses *exchange-rate-centred* MP, list 3 levers, explain transmission via imported inflation channel.

One-Page Compact. Standard MP: ↑ r ⇒ C↓, I↓, X↑ via ER ⇒ AD↓. Singapore MAS: 3 levers — slope, width, centre — to manage S$NEER. Tighten = appreciate = lower imported inflation. Ease = depreciate = NX support. Trilemma: cannot have fixed ER + free capital + independent MP simultaneously — Singapore picks ER + capital, sacrifices independent r.

Section 20. Supply-Side Policies

Hot Spots. *Frequency:* Med Paper 1, Very High Paper 2 (long-run essays). *Pitfalls:* (1) confusing SR-AS shifts with LRAS; (2) listing policies without explaining mechanism to LRAS; (3) ignoring time lag. *Marks-grab:* for every SS policy, trace mechanism to a specific LRAS determinant.

One-Page Compact. Aims: shift LRAS right, ease trade-offs, sustainable growth. Categories: labour (SkillsFuture, immigration), capital (PSG, R&D), tech (RIE2025, AI Singapore), institutions (FTAs, infrastructure). Effect: long-run — raises Y* without inflation; eases growth–inflation trade-off. Limits: cost, time lag, uncertain effect, distributional impact.

Section 21. International Trade

Hot Spots. *Frequency:* Med. *Pitfalls:* (1) confusing absolute with comparative advantage; (2) forgetting terms of trade; (3) ignoring assumptions of Ricardo model. *Marks-grab:* show comparative advantage with opportunity cost table and gains-from-trade range.

One-Page Compact. Comparative adv: country specialises in lowest-opp-cost good. Gains from trade: both consume beyond PPC, if ToT lies between domestic opp costs. Sources: factor endowments, tech, scale, preferences. Limits of Ricardo: assumes no transport, full employment, constant returns. Singapore: tiny domestic market ⇒ openness >300% GDP; entrepôt.

Section 22. Trade Policies & Protectionism

Hot Spots. *Frequency:* Med (rising with US–China tariffs). *Pitfalls:* (1) forgetting DWL from tariff; (2) treating quota = tariff for revenue (no gov revenue from a quota allocated by licence); (3) ignoring retaliation. *Marks-grab:* draw the tariff diagram with all welfare areas (CS loss, PS gain, GovRev, two DWL triangles).

One-Page Compact. Tariff: P rises by t, M falls, CS↓, PS↑, GovRev $= t \times M_{new}$, two DWL triangles (production + consumption distortion). Quota: P rises, no GovRev (rent to importer). Subsidy: PS↑, taxpayer cost. Non-tariff: standards, licensing, admin. Arguments for: infant industry, dumping, security, employment. Against: efficiency loss, retaliation, comp adv lost.

Section 23. Globalisation

Hot Spots. *Frequency:* Low–Med. *Pitfalls:* (1) treating globalisation as monolithic; (2) ignoring distributional impact; (3) confusing globalisation with trade alone (also includes FDI, migration, tech diffusion). *Marks-grab:* balanced evaluation across consumers, workers, firms, government.

One-Page Compact. Drivers: trade liberalisation, tech (containerisation, internet), capital mobility, MNC strategy. Effects: + comp adv gains, scale, FDI, tech transfer; − inequality, vulnerability to global shocks, environmental costs, structural unemployment. Singapore: net beneficiary (FDI, X-led growth); risk: openness >300% GDP ⇒ exposed to global slowdown.

Final principle. The student who scores an A is the student who can produce the Compact box *from memory* for every Tier 2 topic. Test yourself: cover the box, write it out, check. That is the only test of fluency that matters.